

licenses? That was the end of a 40-year rise in property prices. At that time, employment in the real estate industry was at its all-time high. Today, employment on Wall Street is at a new all-time high of nearly $\frac{1}{2}$ of 1% of total U.S. employment, which is double the .22% of 1974-1979. Today, then, we are witnessing the same psychological phenomenon in every respect, only the name of the investment-related profession is different. The end will be the same.

Corporate Optimism

One way that companies express optimism is by taking over other companies. The dollar amount of mergers and acquisitions reached the highest level ever last year, \$339.4 billion, surpassing 1988's record volume of \$335.8 billion, as you can see in Figure 11-14. The pace has picked up further in 1995 so far, suggesting another

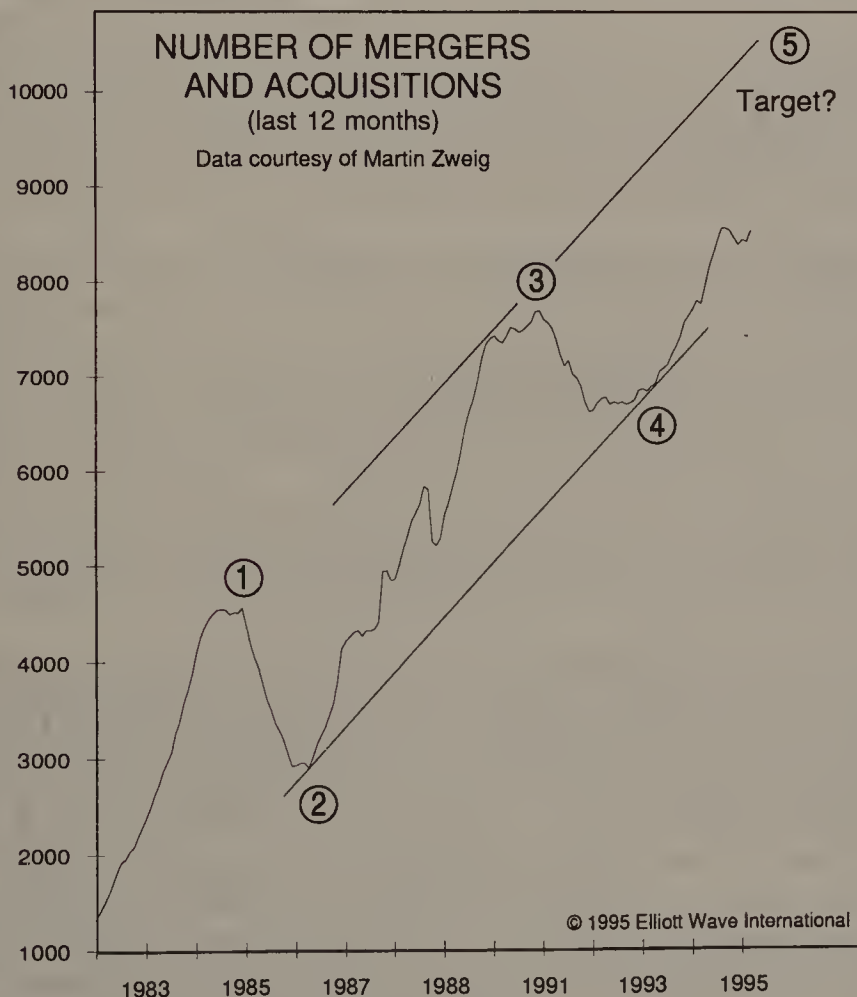


Figure 11-14